



United States
Attorney's Office
Southern District of New York



President Of Queens-Based Construction Company Sentenced For Fraud In Connection With Homeless Shelter Contracts Worth \$12 Million



Wednesday, September 17, 2025

For Immediate Release

U.S. Attorney's Office, Southern District of
New York

United States Attorney for the Southern District of New York, Jay Clayton, announced that LIAQUAT CHEEMA, the leader of a fraudulent scheme to defraud New York City (the "City") in connection with public contracts to perform general contracting work at City homeless shelters, was sentenced yesterday to four years in prison by U.S. District Judge Lorna G. Schofield. CHEEMA previously pled guilty to conspiracy to commit wire fraud on March 5, 2024, before U.S. Magistrate Judge Ona T. Wang.

“Liaquat Cheema stole millions of dollars in public funds intended to pay for maintenance at homeless shelters in New York City,” said U.S. Attorney Jay Clayton. “This Office has no tolerance for those who use public contracts intended to aid members of our society-in-need to fraudulently enrich themselves. We will aggressively pursue anyone who abuses public trust for personal profit.”

According to the Indictment to which CHEEMA pled guilty, the Complaint, the plea agreement, and statements made in court:

CHEEMA was the President of AFL Construction Co. Inc. ("AFL"), located in Queens, New York. AFL entered into public contracts with the City worth approximately \$12 million to perform general contracting work at homeless shelters located in the City, including in the Southern District of New

York. Pursuant to the contracts, AFL was to perform, among other things, general maintenance, landscaping, roofing, and snow removal at shelter sites.

From at least in or about 2014 through at least in or about 2017, CHEEMA and others used the contracts to fraudulently enrich themselves and steal from the City. In furtherance of the scheme, CHEEMA and others, among other things, submitted fraudulent invoices and other documentation in support of requests for payment on the contracts, which falsely claimed that workers had performed work on certain projects and inflated amounts paid by the defendants for materials purportedly used on such projects. These fraudulent invoices and supporting documentation contained, without authorization, the identities of other persons, including the names and, in at least one case, the Social Security number, of purported workers who in fact had not worked on the projects specified in the requests for payment submitted by CHEEMA and others.

CHEEMA and others also obtained tens of thousands of dollars' worth of Medicaid benefits by repeatedly submitting fraudulent certifications, which underreported their actual incomes and accordingly enabled them to obtain Medicaid benefits for which they were not eligible. In support of requests for Medicaid benefits, CHEEMA and others repeatedly submitted nearly identical employment letters, which, among other misrepresentations, contained the name and purported signature of a purported "Project Manager" who, in fact, was deceased. In connection with his guilty plea, CHEEMA agreed to pay back the money misappropriated from Medicaid.

* * *

In addition to the prison term, CHEEMA, 65, of East Elmhurst, New York, was sentenced to two years of supervised release and ordered to pay restitution and forfeiture in the amount of \$3,267,811.

Mr. Clayton praised the outstanding investigative work of the U.S. Department of Labor Office of Inspector General and the New York City Department of Investigation.

This case is being handled by the Office's Complex Frauds and Cybercrime Unit. Assistant U.S. Attorney Timothy V. Capozzi is in charge of the prosecution.

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Topic

CYBERCRIME

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